

LA1030- Introductory Economics

Date: 29/08/2025

Total Marks: 100

Time: 12:00 – 13:30

Answer any six questions (15 x 6 = 90)

- ✓ 1. Briefly explain the production possibilities frontier with help of inefficiency, trade-offs, opportunity cost, and economic growth (illustrate through graph). (15)
- ✗ 2. Find elasticity of demand, if the demand function is
$$X = 25 - 4P + P^2$$

Where X is the demand for commodity and P is the price.
Suppose P is given as 8, then check whether the elasticity of demand is elastic or inelastic. (8+7)
- ✗ 3. A firm has the following Total Cost and Demand functions:
$$C = \frac{1}{3}Q^3 - 7Q^2 + 111Q + 50, Q = 100 - P$$

Find out the profit maximizing output, price and profit. (10+5)
4. Briefly discuss all the steps an economist needs to follow while pursuing any scientific investigation of the study related to economics. (15)
- ✓ 5. What does the "invisible hand" of the marketplace do? Briefly explain the two main causes of market failure and give an example of each. (3+10+2)
6. Explain all the steps for measuring Consumer Price Index? Describe the three problems that make CPI an imperfect measure of cost of living? (10+5)
- ✓ 7. What is price ceiling? Explain the outcome of the market through a graph when price ceiling that is binding. Does the outcome of the market good or bad for any economy? Explain. (3+10+2).
8. The generalized demand for good X is estimated to be
$$Q = 250,000 - 500P - 1.50M - 240P_R$$

Q is the quantity demand, P is the own price, M is the average income, and P_R is the price of related good R. The values of P, M and P_R are given as 200, 60,000 and 100, respectively.
 - ✓ (a) Compute the quantity of good X demanded for the given values of P, M and P_R .
 - ✗ (b) Calculate the price elasticity of demand E. At this point on the demand for X, is the demand elastic, inelastic or unit elastic? How would increase in price of X affect total revenue? Explain. (4+8+3).

Answer the following question:

9. Briefly explain the 'crowding out' effect through graph assuming an economy is undergoing a budget deficit. (10)
